

Report of the Board of Directors' FY 2022-23

Dear Shareholders,

On behalf of the Board of Directors, I am delighted to present the 37th Annual Report of your Company, along with Audited Standalone and Consolidated Financial Statements for the Financial Year 2022-23.

Your Company has registered yet another year of robust performance and made substantial progress in its field. The performance highlights of your Company for the financial year 2022-23 are briefly mentioned here to give an overview of accomplishments on all fronts:

1. PFC'S ROBUST GROWTH AND FINANCIAL STRENGTH: CATALYST FOR A GREENER TOMORROW

i. Forayed into infrastructure financing – A step forward in shaping India's Growth Story

- Your Company received the assent of Government of India to lend to Logistics and Infrastructure sectors, a milestone decision, which will play a crucial role in PFC's long term business growth.
- Since receiving the approval for lending to Infrastructure sector in August 2022, PFC has sanctioned around ₹ 16,647 crores and disbursed around ₹ 1,016 crores of loans till March 31, 2023 in its debut year. In the FY 2022-23, PFC has forayed into new areas of Desalination plants, Ports, Metro rail etc.

ii. Strong financial performance year on year - Maximizing value for Shareholders

- Highest ever PAT with an increase of 16%. i.e. ₹ 11,605 crore in FY 2022-23 vs. ₹ 10,022 crore in FY 2021-22.
- Net worth increased by 15% on account of increasing profits i.e. ₹ 68,202 crore as at March 31, 2023 vs. ₹ 59,350 crore as at March 31, 2022.
- Total income achieved during the FY 2022-23 was up by 2.78% to ₹ 39,666 crore.
- The Board of Directors of the Company has recommended final dividend (₹1,188.04 crore) @ 45% on the paid up equity share capital i.e. ₹ 4.50 /- per equity share of ₹ 10/- each for the financial year 2022-23, subject to the approval of the shareholders at the ensuing Annual General Meeting. The Company had also paid interim dividend (₹ 2,310.07 crore) of ₹ 8.75 /- per equity share of ₹ 10/- each during FY 2022-23. Thus, the total dividend declared for the FY 2022-23 is (₹ 3,498.11 Crore) i.e. ₹ 13.25 per equity share of ₹ 10 each.
- PFC bagged SAFA Gold Award in Best Presented Accounts/Annual Report Awards (BPA) for the Financial Year 2020-21 in 'Public Services Entities category'.

iii. Consistent & Sustainable Growth

- Registered a growth of 13% in Loan assets book i.e. ₹ 4,22,498 crore as at March 31, 2023 vs. ₹ 3,73,135 crore as at March 31, 2022
- Total Loans Sanctioned by your Company amounted to ₹ 2,31,625 crore during the FY 2022-23 to State, Central, Private and Joint Sector entities and Disbursements amounted to ₹ 85,756 crore during the same period.
- Under the Late Payment Surcharge Rules, PFC sanctioned ₹ 47,906 crore and disbursed ₹ 16,764 crore till March 31, 2023.

iv. Stable Asset Quality

- Continuous efforts in resolution of stressed assets lead to 21% sharp reduction in stressed assets. The Net NPA ratio is of 1.07% in FY 2022-23 vs. 1.76% in FY 2021-22.
- During the year PFC successfully resolved four Stage III Loans viz; Suzlon Energy Ltd, South-East UP Power Transmission Company Limited, Jhabua Power Limited and Ind Barath Energy Utkal Ltd., the total principal outstanding prior to date of Resolution being ₹ 4,634 crore.

v. Thrust on Global and Green Borrowing

- During FY 2022-23, PFC has signed a Loan Agreement for JPY 30 Billion with Japan Bank for International Cooperation (JBIC). Further, a Project Loan agreement (PLA) has also been signed for JPY 2.65 billion between PFC and JBIC. JBIC has provided this long term facility under its initiative titled 'Global action for Reconciling Economic growth and Environmental preservation' ("GREEN"). Thus, the funds under the facility would be used by PFC to finance its renewable energy portfolio.
- Foreign Currency loans worth USD 1.60 bn were raised during the year:
 - JPY denominated loan equivalent to USD 875 mn at 1.02% - the largest FCL raised by PFC in a single transaction.
 - FCNRR loan of USD 720 mn at 4.96% - this was the first time PFC raised FCNRRs in USD with an embedded swap to EUR.
- Availed loans from Multi-lateral agencies:
 - EUR 58.74 mn availed from KfW after a gap of 20 years.

2. FINANCIAL SYNOPSIS

i. Profitability

(₹ in crore)

Particulars	Standalone		Consolidated	
	2022-23	2021-22	2022-23	2021-22
Total Income	39,665.63	38,591.17	77,625.19	76,344.92
Profit Before Tax	14,170.62	12,227.65	26,496.07	23,382.22
Tax expenses	2,565.15	2,205.75	5,317.48	4,614.01
Profit After Tax	11,605.47	10,021.90	21,178.59	18,768.21
Owners of the Company			15,889.33	14,014.79
Non-Controlling Interests			5,289.26	4,753.42
Total Comprehensive Income	11,445.80	10,202.73	20,047.88	18,889.78
Owners of the Company			15,218.55	14,163.78
Non-Controlling Interests			4,829.33	4,726.00

ii. Reserve & Surplus

(₹ in crore)

Particulars	Standalone		Consolidated*	
	2022-23	2021-22	2022-23	2021-22
Opening Balance of Surplus	8,863.49	7,203.86	12,757.10	9,760.52
Profit after tax for the year	11,605.47	10,021.90	15,889.33	14,014.79
Re-Measurement of Defined Benefit Plans	(2.68)	(3.70)	(5.04)	(6.98)
Transfer towards Reserve for Bad & Doubtful Debts u/s 36(1)(vii)(c) of Income Tax Act, 1961	(529.39)	(576.44)	(529.39)	(576.44)
Transfer to Special Reserve created and maintained u/s 36(1)(viii) of Income Tax Act, 1961	(2,372.31)	(2,423.45)	(3,780.27)	(4,044.97)
Transfer to Special Reserve created u/s 45-IC(1) of Reserve Bank of India Act, 1934	(2,321.09)	(2,004.38)	(3,484.93)	(3,062.34)
Transfer to Debenture Redemption Reserve	-	-	-	-
Transfer to General Reserve	-	-	-	-
Transfer to Interest Differential Reserve - KFW Loan (net)	(0.90)	(1.42)	(0.90)	(1.42)
Dividends	(2,640.08)	(3,366.10)	(2,640.08)	(3,366.10)
Dividend Distribution Tax	-	-	-	-
Transfer from Debenture Redemption Reserve on account of utilisation	-	-	-	-
Transfer from OCI - Equity Instruments	-	-	-	-
Other Comprehensive Income/(Expense)	-	-	-	-
Reclassification of gain/loss on sale of equity instrument measured at OCI	46.13	13.22	48.77	58.90
Pooling of interest accounting for common control business combination	-	-	-	-
Impairment Reserve	-	-	-	-
Adjustments	-	-	(18.30)	(18.86)
Closing Balance of Surplus	12,648.64	8,863.49	18,236.28	12,757.10

*Attributable to owners of the Company (PFC)

3. OPERATIONAL SYNOPSIS

i. Asset Quality

(₹ in crore)

Particulars	2022-23	2021-22
Gross Loan Assets	4,22,498	3,73,135
Stage III Assets	16,502	20,915
Provision on Stage III Assets	11,999	14,344
Gross Stage III as % of Gross Loan Assets	3.91%	5.61%
Net Stage III as % of Gross Loan Assets	1.07 %	1.76%

ii. Sanction/Disbursement (excluding RDSS/IPDS/R-APDRP)

(₹ in crore)

SECTOR	FY2022-23		FY 2021-22	
Category	Sanctions	Disbursements	Sanctions	Disbursements
State Sector	149,300	57,963	36,197	41,512
Central Sector	26,704	3,063	63	10
Joint Sector	19,418	2,300	6,743	773
Private Sector	36,203	22,430	8,613	8,947
Total	2,31,625	85,756	51,616	51,242

4. BORROWINGS

i. Borrowings from Domestic Market

During the FY 2022-23, PFC has raised funds to an amount of ₹ 62,297.47 crore vide Private Placement of Bonds including 54EC Capital Gain Bonds and rupee term loans from Domestic market. The object/purpose of the said bond issuances under private placement is to augment resources of PFC for meeting fund requirement. The details of borrowings made from domestic market during FY 2022-23 are as under;

(₹ in crore)

Source	Amount
Bonds (including 54EC)	44,697.47
Rupee Term Loans	17,600.00
Total	62,297.47

Further, for maintaining adequate liquidity, credit lines to the tune of ₹ 12,150 crore were sanctioned as on March 31, 2023 by various scheduled commercial banks to the Company for short-term funding generally without any commitment charges.

RBI has prescribed Liquidity Coverage Ratio (LCR) framework for NBFCs. These guidelines aims for maintenance of a liquidity buffer in terms of LCR by ensuring that NBFCs have sufficient High Quality Liquid Asset (HQLA) to survive any acute liquidity stress scenario lasting for next 30 days. PFC maintains sufficient liquidity buffer in the form of HQLA as prescribed.

ii. External Borrowings

The foreign currency denominated borrowings during FY 2022-23 are as follows:

(₹ in crore)

Sr. No.	Source	Amount
1.	Foreign Currency Term Loans	7,258.77
2.	Foreign Currency Non-Resident Borrowings	5,930.87
3.	Loan from KFW – under ODA (Official Development Assistance) route	516.58
TOTAL		13,706.23

Green Bonds

PFC established its Green Bond Framework in October, 2017 as approved by Climate Bonds Initiative (CBI), London, UK. The Green Bond framework for funding renewable projects (viz. Solar and Wind) has been updated in August, 2021 to align with the latest set of guidelines namely Climate Bonds Standard version 3.0, the Green Bond Principles (GBP), 2021 issued by the International Capital Markets Association (ICMA). In this context, an agreement was executed between PFC & Climate Bonds Initiative.

PFC has issued its first USD Green bond in December, 2017 and raised US \$400 million (₹ 2,575 crore) at a coupon of 3.75% and these bonds are listed on the London Stock Exchange's new International Securities Market (ISM) and Singapore Stock Exchange. Further, in September, 2021 PFC issued its first ever Euro Green Bonds amounting to

EUR 300 million (₹ 2,597 crore) at a coupon of 1.841% and these bonds are listed on the Singapore Stock Exchange, India INX and NSE IFSC. Annual update to the holders of the bonds, as required under the PFC's Green bond framework is as follows:-

The funds raised under Green bonds have been utilised to finance renewable energy projects as per the "Eligible Projects" under PFC's Green Bond Framework. As at March 31, 2023, outstanding loan balances of Solar & Wind energy projects funded by PFC are ₹ 14,765 crore & ₹ 13,442 crore respectively. The total capacity (MW) of outstanding Solar & Wind energy projects funded by PFC as on March 31, 2023 is 9,324 MW. Accordingly, PFC green bond portfolio is more than the amount raised through issue of green bonds.

Externally Aided Projects

Outstanding balance from multilateral/ bilateral agencies as at March 31, 2023 is as follows:

Particulars	Amount
KFW	EUR 63,428,374.05*
Credit National	EUR 2,104,961.44
ADB	USD 6,245,707.13

* Includes Eur 58,747,000.56 disbursed by KFW in FY 2022-23 under Discom Investment Facility (ODA Loan- Without Govt. Guarantee).

5. CREDIT RATING

Your Company has been assigned the highest ratings by Domestic Credit Rating Agencies and Sovereign Rating by International Credit Rating Agencies as at March 31, 2023:

Sr. No.	Rating Agency	Long-Term Rating	Short-Term Rating
Domestic Credit Rating Agencies (Borrowing Programme)			
1.	CRISIL	CRISIL AAA	CRISIL A1+
2.	ICRA	ICRA AAA	ICRA A1+
3.	CARE	CARE AAA	CARE A1+
International Credit Rating Agencies (Issuer rating)			
1.	Fitch Ratings	BBB-	
2.	Moody's	Baa3	

Your Company believes that these credit ratings enables us to develop strong relationship with our lenders and borrow funds at competitive rates.

6. MEMORANDUM OF UNDERSTANDING WITH GOVT. OF INDIA

Your Company has been consistently accorded 'Excellent' Rating by Government of India since FY 1993-94 except for two financial years. For the FY 2021-22, your Company was accorded 'Excellent' rating. The rating for FY 2022-23 is still awaited.

In FY 2022-23, the achievement of your Company on some of the key MoU parameters (on consolidated basis) has been as under:

MoU Parameter	Achievement
Revenue from Operations	₹ 77,568.30 crore
Loans Disbursed to Total Funds Available	99.99%
Overdue loans to Total Loans	0.11%
NPA to Total Loans	1.07%
Cost of raising funds through Bonds as compared to similarly rated CPSEs/ entities (Margin over Reuters)	-16.69 bps

7. SUBSIDIARIES

A. REC Limited

The following subsidiaries of REC as on March 31, 2023 are also subsidiaries of PFC:

- REC Power Development & Consultancy Ltd.
- Bidar Transmission Limited
- Chandil Transmission Limited
- Dumka Transmission Limited
- Koderma Transmission Limited
- Mandar Transmission Limited
- Sikar Khetri Transmission Limited
- Ramgarh II Transmission Limited
- Beawar Transmission Limited
- Meerut Shamli Power Transmission Limited
- Luhri Power Transmission Limited
- Neres XVI Power Transmission Limited
- Khavda II-D Transmission Limited
- KPSI Transmission Limited

REC is also a Systemically Important (Non-Deposit Accepting or Holding) Non-Banking Finance Company (NBFC) registered with Reserve Bank of India (RBI) as an Infrastructure Finance Company (IFC). Its business activities involve financing projects in the complete power sector value chain, be it generation, transmission or distribution and also logistics and infrastructure sector. REC provides financial assistance to state electricity boards, state governments, central/state power utilities, independent power producers, rural electric cooperatives and private sector utilities.

During the FY 2022-23, the total income of REC was ₹ 39,520 crore and the net profit was ₹ 11,167 crore on standalone basis.

The detailed operational and financial performance of REC is available on its website i.e. www.recindia.nic.in.

B. PFC Consulting Limited

Your Company had been offering consultancy support to the Power Sector through PFC Consulting Limited (PFCCL), its wholly-owned subsidiary. The Services offered by PFCCL are broadly in the following areas:

- **Transaction Advisory:** End-to-End solutions in Transaction Advisory Services across different areas in power sector (Selection of Sellers/Developers, Reform & Restructuring, Independent Transmission Projects, Privatisation of Electricity Distribution in Union Territories, Resolution Plan)
- **Project Development:** Project Development & implementation of various GoI initiatives (Ultra Mega Power Projects, Ultra Mega Renewable Energy Power Parks, Owner's Engineer, Lender's Independent Engineer, Lender's Insurance Advisor, Setting up of Manufacturing Zone for power and renewable energy equipment)
- **PMA/ PMC/ GoI Schemes:** Project management & change agents focusing on revamped solutions & aiming for loss reduction (Revamped Distribution Sector Scheme, Procurement of Power, DEEP Portal, Coal Linkage Auction under SHAKTI Scheme, Pilot Scheme, PRAAPTI Portal, Integrated Power Development Scheme)
- **Smart Solutions:** Smart solutions to improve performance & processes, productivity & pro-active planning (Smart Metering, Energy Portfolio Management)
- **Policy Formulation Support:** Support to Government/Regulators for formulation of Policies, Regulatory framework and Guidelines & SBDs
- **Other Services:** Strategy, Regulatory, Tariff Support, fund mobilisation and other aspects of power sector

Till date, consultancy services have been rendered by PFCCL to its clients spread across India. The total projects of assignments undertaken as on date are more than 200.

Further, during the FY 2022-23, the total income of PFCCL is ₹ 139.66 crore and the net profit earned is ₹ 63.80 crore. The net worth of PFCCL as on March 31, 2023 is ₹ 163.09 crore.

Your Company is designated by Ministry of Power (MoP) as the 'Nodal Agency' for facilitating development of Ultra Mega Power Projects and its wholly-owned subsidiary i.e. PFC Consulting Limited is the 'Bid Process Coordinator' for Independent Transmission Projects. Further various State Governments have appointed PFCCL as Bid Process Coordinator for their Intra State Transmission Projects. .

The following Special Purpose Vehicles (SPVs) have been incorporated as subsidiaries of PFCCL as on March 31, 2023:

- i. Bijawar-Vidarbha Transmission Limited (Under process of Strike-off)
- ii. Ananthapuram Kurnool Transmission Limited
- iii. Chhatarpur Transmission Limited
- iv. Fatehgarh IV Transmission Limited
- v. Fatehgarh III Transmission Limited
- vi. Bhadla III Transmission Limited
- vii. Fatehgarh III Beawar Transmission Limited
- viii. Beawar Dausa Transmission Limited
- ix. Siot Transmission Limited

C. PFC Projects Limited

Coastal Karnataka Power Limited (CKPL), a wholly-owned company of PFC Ltd was set up for developing the UMPPs in the State of Karnataka as per the mandate from GoI. During FY 2022-23, CKPL's MoA has been amended to enable for Bidding in lenders' backed resolution plan by PFC and it has been renamed as PFC Projects Limited (PPL).

D. Other subsidiaries established for development of UMPP's

- i. Coastal Tamil Nadu Power Limited
- ii. Orissa Integrated Power Limited
- iii. Sakhigopal Integrated Power Company Limited
- iv. Ghogarpalli Integrated Power Company Limited
- v. Deoghar Mega Power Limited
- vi. Cheyyur Infra Limited
- vii. Odisha Infrapower Limited
- viii. Deoghar Infra Limited
- ix. Bihar Infrapower Limited
- x. Bihar Mega Power Limited
- xi. Jharkhand Infrapower Limited

8. PROACTIVE RISK MANAGEMENT THROUGH A MULTI LAYERED RISK FRAMEWORK

i. Asset Liability Management

Your Company has put in place a sound and robust Asset Liability Management Policy formulated in line with the RBI's guidelines to establish focus on liquidity and interest rate risk management process in PFC. Measurement and monitoring of Liquidity risk is done through cash flow approach; and for Interest rate risk, it is done through traditional gap analysis technique as detailed in RBI guidelines. Such analysis is made on periodical basis in various time buckets and is used for critical decisions regarding the time, volume and maturity profile of the borrowings and creation of mix of assets and liabilities in terms of time period (short, medium and long-term) and

in terms of fixed and floating interest rates. The details of the asset liability management maturity pattern are given at Note No. 53.1 of the Notes to Accounts of the Standalone Financial statements forming part of this Annual Report.

An ALM Committee of Functional Directors has been constituted as per PFC's Asset Liability Management Policy formulated in line with the RBI's guidelines.

As on March 31, 2023 the ALM Committee of Functional Directors comprised of Smt. Parminder Chopra, Director (Finance) as Chairman of the Committee and Shri R.R. Jha, Director (Projects) as Member.

ii. Foreign Currency Risk Management

Your Company has put in place "Policy for Management of Risks on Foreign Currency Borrowings" to manage risks associated with foreign currency borrowings. The Company enters into hedging transactions to cover exchange rate and interest rate risk through various instruments like forwards, options and swaps.

As on March 31, 2023, the total o/s foreign currency liabilities stand at USD eqv 7,852 mn, and currency wise denominated borrowings are USD 5,841 mn, JPY 1,32,381 mn & EUR 932 mn. Out of the total foreign currency borrowing portfolio, USD eqv 4,959 mn i.e. 63% is hedged. Also, 82% of the FC portfolio with residual maturity up to 5 years is hedged.

iii. Integrated Enterprise Wide Risk Management

In order to manage risks faced by your Company, it has put in place an Integrated Enterprise Wide Risk Management Policy (IRM policy). For implementation of the policy, Your Company has constituted the Risk Management Committee. Under the IRM policy, the Company has to identify the principal risks which may have an impact on its profitability/revenues. In this regard, the Company has identified 11 significant risk parameters which arise from the Company's business model and from its use of financial instruments. These risk parameters cover the major operational risks, financial risks, market risks, regulatory risks etc. faced by the Company and are regularly assessed as per the Risk Assessment Criteria.

Further, the above would also cover aspects relating to development and implementation of a risk management policy for the Company including identification therein of elements of risk, which should cover the requirements of Sec. 134(3)(n) of Companies Act, 2013.

9. PFC A STRATEGIC PARTNER OF GOVERNMENT OF INDIA IN BRINGING POWER SECTOR REFORMS

i. Revamped Distribution Sector Scheme (RDSS) & Integrated Power Development Scheme (with Restructured Accelerated Power Development and Reform Programme (R-APDRP) Subsumed In It)

The Company is involved in various Govt programmes for the power sector, including acting as a nodal agency for the IPDS (R-APDRP subsumed) and Revamped Distribution Sector Scheme (RDSS) launched by Govt. of India in July, 2021.

MoP/Govt vide OM dated 20.07.2021 has conveyed sanction of President of India for implementation of "Revamped Distribution Sector Scheme (RDSS) – A Reforms-based and Results-linked, Distribution Sector Scheme" to improve the operational efficiencies and financial sustainability of DISCOMs, by providing financial assistance to DISCOMs for upgradation of the Distribution Infrastructure and Prepaid Smart Metering & System Metering based on meeting pre-qualifying criteria and achieving basic minimum benchmarks in reforms. PFC and REC (PFC's subsidiary) are the designated nodal agencies for operationalisation of the Scheme, as per RDSS guidelines and directions of inter-ministerial Monitoring Committee/MoP from time to time. Nodal agencies are eligible for 0.5% of the sum total of the Gross Budgetary Support (GBS) component of the various projects approved by Monitoring Committee as its fee. PFC is the nodal agency for 17 States/UTs under the Scheme. The approved projects under IPDS/R-APDRP were subsumed in RDSS. All State-owned distribution companies and State/UT Power Dept. excluding private sector companies are eligible for financial assistance under the Scheme. The implementation period of the Scheme is 5 Years (FY 2021-22 to FY 2025-26).

Scheme Objectives

- Improve the quality, reliability and affordability of power supply to consumers through a financially sustainable and operationally efficient distribution sector.
- Reduce AT&C losses to pan-India levels of 12-15% by 2024-25.
- Reduce ACS-ARR gap to zero by 2024-25.

Scope of Scheme

The Scheme has two parts:

- Part A** covers Metering works (prepaid smart metering for consumers and system metering) and distribution infrastructure works (loss reduction; modernisation & system augmentation components).
- Part B** covers Training & Capacity Building and other Enabling & Supporting Activities.

Outlay and Budgetary Support

The Scheme has an outlay of ₹ 3,03,758 crore with an estimated gross budgetary support of ₹ 97,631 crore from the GoI.

Targeted infrastructure creation under RDSS in States across India based on fund sanction:

- Around 500 new Substations
- Over 4,00,000 Distribution transformers
- Around 7.5 lakh ckm of AB and XLPE cables
- Around 7 lakh ckm of overhead lines
- Over 20 crore Smart meters

Financial Assistance under RDSS in states allocated to PFC (as on March 31, 2023)

(Amounts in ₹ crore)

Scheme	FY 2022-23		Cumulative up to March, 2023	
	Approved Cost	GoI Fund Disbursed	Approved Cost	GoI Fund Disbursed
RDSS	54,534	1,142	1,16,951	1,679

Other Initiatives

- Supporting the States by preparing Model Bidding Documents for Automation and ERP projects under RDSS.
- Working on developing a Centre of Excellence in the form of National SCADA Resource Centre (NSRC) under RDSS at NPTI, Faridabad for developing the technical and operational skills of the Distribution Workforce across SCADA / DMS systems supplied by multiple OEMs.
- PFC (alongwith its subsidiary company i.e. REC) has developed an Integrated web portal that will serve as single version of truth for various government Schemes as well as vital reports being published by PFC/ REC viz. RDSS Scheme, DISCOM Integrated Rating (IR) Report, DISCOM Performance Report, Consumer Services Rating of DISCOMs (CSR), PRAAPTI Portal, Energy audit reports etc.
- PFC is taking-up capacity building/ training programme for DISCOMs' employees under RDSS by engaging NPTI. Till March 2023; 175 training programmes were conducted through NPTI covering 6,490 DISCOM personnel.
- PFC is supporting skill development of the workforce for rolling out the RDSS Smart metering programme by

training 1,000 persons on various job-roles under PFC's CSR Programme.

- PFC, in partnership with The United States Agency for International Development (USAID) has launched the South Asia Distribution Utilities Network (DUN), a regional platform to foster collaboration among electricity distribution Utilities across Bangladesh, Bhutan, India, Maldives, Nepal and Sri Lanka for the reform and modernisation of the sector. PFC will act as the anchor institution with technical support from USAID through its South Asia Regional Energy Partnership (SAREP) programme.
- PFC with technical assistance of Foreign Commonwealth and Development Office (FCDO), Government of UK in association with MoP, GoI has developed Digital Utility Manager (DUM) Training Programme. The programme aimed at proactive technology adoption at DISCOMs, to have flexibility in the mode of learning making this self-paced, covering frontier technologies such as Smart Grids, AMI, EVs, Energy Storage, AI/ ML, Blockchain, Robotics etc.
- PFC is also handholding the DISCOMs in incorporating better corporate governance practices.

The impact of various reforms measures undertaken by States Government/DISCOMs under RDSS Scheme is evident as all India average AT&C losses have improved to 16.5% in FY 22 (data based on 11th Integrated Rating report), which is significantly lower than 21.5% in FY 21. Further, ACS-ARR gap, which captures the cash-adjusted revenue gap per unit, also significantly improved to 40 paise per unit energy in FY 22 compared to 89 paise per unit energy in FY 21. In addition, there has been significant improvement in compliances in form of filing and issuance of Tariff Orders, submission of Quarterly and Annual accounts by DISCOMs etc.

Integrated Power Development Scheme (IPDS) (including R-APDRP subsumed)

The erstwhile Schemes of IPDS (including R-APDRP subsumed) launched by Ministry of Power, Government of India in order to provide impetus to strengthening of power distribution sector, consumer/ system metering, IT enablement of distribution sector, Digital technology initiatives, new & innovative technologies etc. in urban areas were subsumed in RDSS Scheme. The Schemes have been sunset in March, 2022.

Achievements of IPDS (including R-APDRP subsumed)

- The Schemes have helped in making a difference in the lives of around 10 crore urban electricity consumers living in 3,600 towns across the country where the Power Distribution infrastructure has been upgraded.
- IT and Technical interventions coupled with administrative and other measures undertaken under the Schemes have helped in improvement of Billing/

Collection efficiency for reduction in Aggregate Technical and Commercial (AT&C) losses.

- There has been an increased in transparency by way of capturing of data from ~ 36,000 urban feeders (11 kV) in IT enabled towns on Urban Distribution Monitoring System under National Power Portal.
- Real Time Data Acquisition System has been set up covering around 15,000 feeders for capturing data w.r.t. reliability indices at feeder level.
- 92 Gas Insulated Substations (GIS) & Hybrid PSS have been commissioned/upgraded. Such substations have been set up for the first time in Bihar, Karnataka, UP and NER States.
- Around 10 lakh Smart/Prepaid Meters have been installed in the country under IPDS.
- '1912' – Short-code for 'Complaints on Electricity' is now operational in all DISCOMs.
- Capacity building/training of Utility personnel has also been carried out using Digital means under IPDS/ R-APDRP to enhance their skill through workshops/webinars on AT&C loss reduction, smart metering, project management, guidelines, best practices etc.

Thus, your Company is contributing towards better power supply to the people of India and improving operational efficiency and financial health of Distribution Utilities.

ii. Late Payment Surcharge Rule, 2022

Ministry of Power (MoP) vide Gazette Notification dated June 3, 2022, notified "The Electricity (Late Payment Surcharge and Related Matters) Rules, 2022" (LPS Rules). These rules provide a mechanism for settlement of outstanding dues of Generating Companies, Inter-State Transmission Licensees and Electricity Trading Licensees.

Power Finance Corporation Limited (PFC) has been designated by MoP, as the Nodal Agency for implementation of LPS Rules' 2022. PFC shall be responsible for all the activities related to implementation of the said Rules including regular review and monitoring.

For operationalisation of Rules, PRAAPTI Portal (developed and managed by PFC Consulting Ltd.) acts as an information portal wherein suppliers enter invoice details and Discoms update the corresponding payment amount to ensure invoice and payment tracking of power bills in the country. Based on the information available on PRAAPTI, regulations are imposed on defaulting Discoms as per LPS Rules, 2022 by Grid controller of India Limited.

With the implementation of Electricity (LPS and Related Matters) Rules, 2022, remarkable improvement has been seen in recovery of outstanding dues of Suppliers including Generating Companies, Transmission Companies and Traders. Against legacy dues of ₹ 1,39,747 crore as on 03.06.2022, 13 States/UTs have paid instalment of ₹ 69,790 crore (12 EMIs). Discoms of 11 out of these 13 states opted for loans from PFC/REC (total loan sanctioned of

₹ 1,05,065 crore). Further, 20 States/UTs reported to have no outstanding dues as on 03.06.2022

In view of regulations under LPS Rules, 2022 the Distribution companies are paying their current dues in time. Since implementation of the rule, as on July 24, 2023, total bills amounting to ₹ 4,85,041 crores have been settled against total billed amount of ₹ 5,60,366 crore (excluding EMI Payments against legacy dues and including Disputed Invoices).

iii. Independent Transmission Projects (ITPs)

MoP has also initiated Tariff Based Competitive Bidding Process for development and strengthening of transmission system through private sector participation.

The objective of this initiative is to develop transmission capacities in India and to bring in the potential investors after developing such projects to a stage having preliminary survey work, identification of route, preparation of survey report, initiation of process of land acquisition for sub-stations, if any, initiation of process of seeking forest clearance, if required etc.

MoP has designated PFC Consulting Limited (a wholly-owned subsidiary of PFC) as one of the Bid Process Coordinator for Independent Transmission Projects. As on March 31, 2023, 49 SPVs have been established for ITPs by PFC / PFCCL.

During the year, the following nine companies / ITP-SPVs were incorporated:

- Siot Transmission Limited
- Fatehgarh III Beawar Transmission Limited
- Beawar Dausa Transmission Limited
- Khandukhal Rampura Transmission Limited – Transferred
- Fatehgarh III Transmission Limited
- Bhadla III Transmission Limited
- Fatehgarh IV Transmission Limited
- Raipur Pool Dhamtari Transmission Limited – Transferred
- Dharamjaigarh Transmission Limited –Transferred

Further, during the FY 22-23, following SPVs established for development of transmission projects has been transferred to the successful bidders selected through TBCB:

- Khetri-Narela Transmission Limited
- Khandukhal Rampura Transmission Limited
- Kishtwar Transmission Limited
- Bhadla-Sikar Transmission Limited
- Raipur Pool Dhamtari Transmission Limited
- Dharamjaigarh Transmission Limited

As on March 31, 2023, out of 49 SPVs, 36 SPVs were transferred to the successful bidders and bidding process for 8 SPVs are under progress. Further, due to de-notification of schemes by MoP, 4 SPVs were closed and 1 SPV is under process of closure.

iv. Ultra Mega Power Project (UMPP)

Development of Ultra Mega Power Projects (UMPPs), with a capacity of about 4,000 MW each, adopting super critical technology is the initiative of MoP, Government of India for which your Company has been designated as the 'Nodal Agency' and Central Electricity Authority (CEA) as the Technical Partner by MoP.

PFC Consulting Limited (a wholly-owned subsidiary of PFC) along with MoP and CEA undertake preliminary site investigation activities, land acquisition activities, site specific studies to obtain appropriate regulatory and other approvals for land, water, coal block, environment etc. necessary to conduct catalyst of the bidding process. The successful bidder is then expected to develop and implement these projects.

Your Company incorporated a total of 19 Special Purpose Vehicles (SPVs) as its wholly-owned subsidiaries for 14 UMPPs. Out of these, 4 UMPPs are awarded and 4 UMPPs are closed.

In reference to closed UMPPs, SPVs namely Tatiya Andhra Mega Power Ltd. (2nd Andhra UMPP), Coastal Maharashtra Mega Power Ltd. (Munge UMPP) and Chhattisgarh Surguja Power Ltd. (Chhattisgarh UMPP) are struck-off from the records of RoC in FY 22-23. Further, SPV namely Coastal Karnataka Power Ltd. (Karnataka UMPP) is being utilised by PFC for bidding stressed assets projects (name of the SPV changed to PFC Projects Ltd.).

As the Country is transforming from fossil to non-fossil fuel, MoP has decided to close remaining UMPP's also and advised your Company to take necessary steps for closure of UMPP in consultation with state Government.

10. OTHER MAJOR INVESTMENTS

i. PTC India Limited

PTC India Limited ("PTC") was jointly promoted by Power Grid, NTPC, NHPC and PFC. PFC has invested ₹ 12 crore in PTC constituting 120,00,000 equity shares which is 4.05% of PTC's total equity share capital. PTC is the leading provider of power trading solutions in India, a Gol initiated public-private partnership, whose primary focus is to develop a commercially vibrant power market in the country. PTC has reported profit after tax of ₹ 370 crore for the financial year 2022-23 as compared to Profit after Tax of ₹ 425 crore for Financial year 2021-22. As on March 31, 2023, PFC holds 120,00,000 shares of PTC valued at ₹ 102.06 crore.

ii. Power Exchange India Limited

Power Exchange India Limited ("PXIL") is India's first institutionally promoted Power Exchange, that provides innovative and credible solutions to transform the Indian power markets. PXIL, provides nationwide, electronic exchange for trading of power and handles power trading and transmission clearance, simultaneously, it provides transparent, neutral and efficient electronic platform. PXIL offers various products such as day ahead, day ahead contingency, any day, intra-day and weekly contracts. PXIL provides trading platform for renewable energy certificates. As on March 31, 2023, PFC's investment in 32,20,000 equity shares of PXIL is valued at ₹ 3.59 crore.

iii. Energy Efficiency Services Limited

Energy Efficiency Services Limited ("EESL") was incorporated as a public limited company on December 10, 2009 under the Companies Act, 1956. EESL intends to focus on energy efficiency and climate change initiatives. The Company along with its subsidiary RECL is holding 33.33 % stake in equity share capital of Energy Efficiency Services Limited (EESL). However, in the absence of any practical ability to direct the relevant activities as per the requirements of Ind AS 28 'Investment in Associates and Joint Ventures', the Company does not have any significant influence, accordingly EESL has not been considered as an associate company.

As at March 31, 2023, the Company along with its subsidiary RECL holds 33.13% stake in equity share capital of EESL (17.65% directly and 15.68% through its subsidiary RECL). As on March 31, 2023, PFC holds 24,55,00,000 Equity Shares of FV of ₹ 10 each of Energy Efficiency Services Limited valued at ₹ 158.08 crore.

iv. NHPC Limited

PFC has initially invested 26,05,42,051 equity shares of NHPC Limited at the rate of ₹ 21.78 per share (including securities transaction tax, brokerage and other charges) amounting to ₹ 567.46 crore in April 2016 during disinvestment by Gol through offer for sale route. PFC has sold 10,52,17,881 number of equities shares till March 31, 2023. As on March 31, 2023 PFC holds 15,53,24,170 shares of NHPC Limited valued at ₹ 624.40 crore.

NHPC has reported profit after tax of ₹ 3,834 crore for the financial year 2022-23 as compared to Profit after Tax of ₹ 3,538 crore for Financial year 2021-22.

v. COAL INDIA LIMITED

PFC has invested 1,39,64,530 equity shares of Coal India Limited at the rate of ₹ 358.58 per share (including securities transaction tax, brokerage and other charges) amounting to ₹ 500.74 crore in February 2015 through offer for sale route. As on March 31, 2023, PFC holds 1,39,64,530 equity shares of Coal India Limited Valued at ₹ 298.35 crore.

CIL has reported profit after tax of ₹ 14,802 crore for the financial year 2022-23 as compared to Profit after Tax of ₹ 11,202 crore for Financial year 2021-22.

11. INITIATIVES FOR MONITORING DISCOM'S PERFORMANCE

i. Annual Integrated Rating of State Distribution Utilities

Ministry of Power has taken various reform initiatives, to bring about improvements in the Distribution Sector and has put in place an Integrated Rating Methodology for an objective evaluation of performance of Distribution Utilities. The objective of the integrated rating is to rate all utilities in the power distribution sector based on their financial performance and their ability to sustain the performance level. Private Distribution Utilities and Power Departments are also being included to provide complete sectoral coverage.

The methodology adopted attempts to objectively adjudge the performance of distribution utilities against various parameters broadly classified under i) Financial Sustainability parameters ii) Performance Excellence parameters and iii) External Environment parameters. For the introduction of Power Departments in the rating exercise, a subset of metrics with modified weightages from the overall methodology have been utilised for rating.

These ratings are carried out by reputed independent agencies and co-ordinated by your Company. These ratings are immensely beneficial as a diagnostic tool in the hands of the State Governments as well as Utilities to build on their strengths and work on areas requiring improvements so as to improve their operational efficiency and financial sustainability. Eleventh Integrated Ratings for FY 2021-22, covering 69 Utilities/departments across the country and *inter se* ranking of the Utilities was released by the Hon'ble Minister of Power, New & Renewable Energy on April 10, 2023.

ii. Annual Performance Report of Power Utilities

PFC publishes the Report on Performance of State Power Utilities on an annual basis. The Report covers a range of key financial and operational parameters such as profitability, gap between average cost of supply and average revenue, net worth, receivables, payables, AT&C losses and consumption pattern of the sector at utility, state and national level. The report covers distribution utilities in all States and UTs of India and all State Gencos/ Transcos/ Trading utilities, offering a comprehensive insight into the Indian Power Sector.

The Report for the years 2018-19 to 2020-21 was released by the Hon'ble Cabinet Minister for Power, New & Renewable Energy in the Conference of Power and Renewable Energy Ministers of State/UTs held in October 2022.

The report for the years 2019-20 to 2021-22 is under finalisation.

iii. Categorisation of Utilities

For purposes of funding, your Company classifies State Power Generation and Transmission entities into A++, A+, A, B and C categories. The categorisation (biannually) of State Power Generation and Transmission entities is arrived at based on the evaluation of entity's performance against specific parameters covering operational & financial performance including regulatory environment, availability of audited accounts, etc. as per categorisation policy.

With respect to State Power Distribution entities (including PDs/entities with integrated operations), your Company's categorisation policy provides for adoption of MoP's Integrated Ratings by aligning such ratings/gradings with PFC's standard categories of A+, A, B, C and D.

The categorisation enables PFC to determine pricing of loans and stipulation of security to the state power entities.

12. PRESIDENTIAL DIRECTIVES

During last 3 years, there has been no Presidential Directive.

13. RIGHT TO INFORMATION: EMPOWERING CITIZENS THROUGH TRANSPARENT COMMUNICATION

The RTI Act, 2005 is a progressive legislation based on citizen's right to know which is a fundamental right enshrined in the Constitution of India. The primary goal of the Right to Information Act is to empower citizens, promote openness and accountability in government operations, combat corruption, and make our democracy truly function for the people. An informed citizen is better equipped to keep a required track on governance instruments and hold the government responsible to the governed. The Act is a significant step in informing citizens about the activities of the government.

All constitutional authorities, agencies, owned and controlled, also those organisations which are substantially financed by the government comes under the purview of the Act. The Act also mandates public authorities of union government or state government, to provide timely response to the citizens' request for information.

An elaborate mechanism has been set up in PFC to deal with requests received under the RTI Act, 2005. PFC has implemented the Right to Information Act, 2005 to provide information to the citizens of India and also to maintain accountability and transparency in the working of the Company. For effective implementation of the RTI Act, PFC has designated its Company Secretary as Public Information Officer (PIO) to dispose off the RTI applications received in the corporation at its registered office. Further, an ED level officer has been designated as a First Appellate Authority (RTI) in PFC to dispose off the RTI appeals. The

relevant information/ disclosures are also made available on the official website (www.pfcindia.com) of the Company.

As regards process in disposal of RTI applications, it is stated that PIO compiles the information from respective Head of the Units who are Deemed PIOs under Section 5(5) of the RTI Act, 2005 and the said information is made available to the applicant within the prescribed period of 30 days.

If the RTI applicant is not satisfied with the reply of the PIO, he can file an appeal with the First Appellate Authority (RTI) of PFC, within 30 days of the receipt of the reply. The First Appellate Authority (RTI) disposes off the appeals within the prescribed period of 30 days. During the period from April 1, 2022 to March 31, 2023, all 140 applications and 13 RTI appeals received under the RTI Act, were duly processed and replied to. PFC has also complied with the requirement of filing of online RTI Quarterly Returns on the portal of Central Information Commission (CIC) during the said period.

Further, in order to strengthen compliance of the provisions of disclosures as contained in Section 4 of the RTI Act, 2005, Department of Personnel & Training (DoPT) vide its OM No. 1/6/2011-IR dated 15.04.2013 issued guidelines on the following:

- a) Suo moto disclosure of more items under Section 4;
- b) Guidelines for digital publication of proactive disclosure under Section 4;
- c) Guidelines for certain clauses of Section 4(1)(b) to make disclosure more effective;
- d) Compliance mechanism for suo-moto disclosure (proactive disclosure) under RTI Act, 2005.

In compliance of the aforesaid Guidelines, PFC has placed the requisite information on the website of the Company.

Besides the above, PFC is also linked with the online RTI Portal of Govt. of India, Department of Personnel & Training (<https://rtionline.gov.in>), which enables citizens of India, to file RTI applications/first appeals online along with payment gateway. Payment can be made through internet banking of SBI & its associate banks, debit/credit cards of Master/Visa and RuPay cards.

To strengthen the proactive / suo motu disclosure, DoPT has come out with detailed instructions vide DoPT OM No. 1/6/2011-IR dated April 15, 2013. The guidelines lay down one of the most important mechanisms in terms of getting its proactive disclosures audited by the third party every year to ensure effective compliance of the guidelines. In line with the above, PFC has successfully got its RTI Disclosures audited through National Power Training Institute (NPTI) during 2022-23. The said audit report is also placed on PFC website for information of the public.

14. CORPORATE SOCIAL RESPONSIBILITY

The aim of PFC's Corporate Social Responsibility and Sustainability Policy (CSR and Sustainability Policy) is to

ensure that the Company becomes a socially responsible corporate entity committed to improving the quality of life of the society at large by undertaking projects for Sustainable Development, mainly focusing on fulfillment of Power and Energy needs of the society.

The policy embodies a holistic approach, aligning the company's efforts with the key tenets of Environmental, Social, and Governance (ESG) principles, as is evident through the comprehensive array of initiatives, spanning Environment Sustainability, Healthcare, Education, and more.

PFC has implemented its CSR and Sustainability Policy with all its earnest and zeal. To oversee the activities of CSR, PFC has in place a Board level CSR&SD Committee of Directors headed by an Independent Director.

PFC has implemented wide range of activities in the field of Environment Sustainability, Rehabilitation and Reconstruction Activities, Healthcare, Education, Sports, Sanitation & Drinking water and Skill development & Livelihood etc. Further, as per DPE's mandate, PFC has also contributed to thematic areas i.e. 'Health & Nutrition, with preference given to Aspirational Districts.

The CSR Report under Companies (CSR Policy), Rules is annexed herewith.

15. HR INITIATIVES

Capacity Building

Your Company firmly believes that being in service sector, Human Resource is the most important asset of the organisation. To foster market competitiveness, your Company is committed to cultivating a high-performance work culture that unleashes individuals' full potential, while equipping and empowering them to engage in continuous learning in line with business goals and adapt to future challenges. Our goal is to develop top-tier organisational capabilities that set us apart from the competition.

During this year, your Company organised various training and development programmes in line with corporate goals. The range of trainings imparted include orientation programme to new recruits as well as hands-on, managerial, behavioural and leadership training for its employees. Besides this, a wide range of functional training programmes were also organised which included Stressed Asset Management with focus on Insolvency & Bankruptcy Code 2016, Advanced Excel, Public Procurement through GeM Portal, Capacity Building for Financial Institutions on Energy Efficiency Financing, AML-KYC-CFT and Fraud Monitoring & Recovery Aspects of Loan Assets, Prevention of Sexual Harassment of Women at Workplace (Prevention, Prohibition & Redressal) Act, 2013, Implementation of ISO 45001:2018 - OHS Standards, Exposure Norms & Capital Requirements for NBFCs, and more.

Furthermore, all newly recruited employees of PFC participated in a comprehensive 3-week Foundation course for Power Sector Professionals of National Power Training Institute (NPTI). This course covered essential

topics such as Basics of Power Sector, Renewables & Solar Energy, Government Schemes, Energy Transition, Energy Conservation & Energy Efficiency, SCADA, Project Appraisal, and more.

As of March 31, 2023, your Company successfully provided 2,608 mandays of training to its employees by organising need based customised programmes and sponsoring employees to external programmes organised by reputed training agencies.

Overall, these initiatives have significantly contributed to enhancing the skills and knowledge of our workforce in alignment with our organisational goals.

Employee Engagement Activities

PFC being a founding member of Power Sports Control Board (PSCB), PFC employees participated with full vigor and enthusiasm in various Inter-CPSU sports tournaments organised by the PSCB member organisations during the period, viz. Badminton, Chess, Carrom and Table Tennis Tournament. PFC Chess Team won 1st Prize in single tournament. PFC organised the Inter CPSU Chess Tournament under the aegis of PSCB from 27-29th April, 2022 at Vishwa Yuvak Kendra, New Delhi successfully. PFC also participated in Power Cup Cricket Tournament which was organised in collaboration with all power sector CPSEs based in Delhi-NCR during the month of January-February, 2023 organised by Power Grid and won 2nd Prize in the Tournament.

Apart from these, PFC organised a PFC Foundation Day programme for its employees & their family member on July 16, 2022 at JLN Stadium, New Delhi. During the year PFC organised Family Picnic in March 2023 for its employees and their dependent family members at Vishalgarh Farms, Gurgaon.

Talent Management

Your Company has put in place effective human resource acquisition and maintenance function, which is benchmarked with best corporate practices designed to meet the organisational needs. This apart from other strategic interventions leads to an effective management of Human Resources thereby ensuring high level of productivity. PFC's recruitment efforts are focused on attracting and nurturing diverse talent.

The Industrial Relations within the Company have been very cordial and harmonious with the employees committing themselves entirely to the objectives of the Company. There were no man-days lost during the year under review. The attrition during the period from April 1, 2022 to March 31, 2023 was 0.04%.

Employee Welfare Measures

Your Company endeavours to follow the best management practices of the industry.

Commitment of the workforce is ensured through an effective package of welfare measures which include comprehensive insurance, medical facilities and other amenities which lead to a healthy workforce. During the period, several new initiatives were taken for employees' welfare such as introducing flexi-timing for employees below HoU level, implementing paperless medical claims system and review of certain provisions under TA Rules, Company Leased Accommodation Rules, etc.

Diversity & Inclusion

The Company follows the Presidential Directives and guidelines issued by the Government of India to promote inclusive growth. The status is presented under:

Status of Reservation of Posts for various categories

Group	Total Employees as on March 31, 2023	SC ¹	SC%	ST ²	ST%	OBC ³	OBC%	EWS ⁴	EWS%
A	500	89	17.80%	32	6.40%	100	20.00%	5	1.00%
B	4	0	0.00%	1	25.00%	0	0.00%	0	0.00%
C	15	2	13.33%	1	6.67%	3	20.00%	0	0.00%
D	0	0	0.00%	0	0.00%	0	0.00%	0	0.00%
Total	519	91	17.53%	34	6.55%	103	19.84%	5	0.96%

PFC makes all efforts to ensure compliance of the Directives and Guidelines issued by the Government of India from time to time pertaining to the welfare of SC/ ST/ OBC/ ESM⁵/ PwD⁶ employees. The steps taken include due reservations and relaxation as applicable under the various directives for direct recruitment as well as for promotions. Separate Liaison officers have been appointed to look into the matter of reservations.

¹Scheduled Caste

²Scheduled Tribe

³Other Backward Classes

⁴Economically Weaker Section

⁵Ex-Servicemen

⁶Persons with Disabilities

Empowering Diversity: Women's Representation In Workforce

Your Company has women in important and critical functional areas. Women representations have gone across hierarchical levels. The Company provides equal growth opportunities for the women in line with Govt. of India philosophy on the subject. The women are adequately represented, with 21.00% of the total work force.

Group	Total Employees as on March 31, 2023	Number of Women Employees	Percentage of overall staff strength
A	500	107	21.40%
B	4	1	25.00%
C	15	1	6.67%
D	0	0	0.00%
Total	519	109	21.00%

PFC as part of its social responsibility makes all efforts to ensure compliance of the Directives and guidelines issued by the Government of India from time to time pertaining to the welfare of female employees.

Fostering A Safe Workplace: Compliance With Sexual Harassment Prevention

The Company has complied with the provisions relating to the constitution of Internal Complaints Committee under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013.

Disclosures in relation to the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013:

a)	Number of complaints filed during the financial year 2022-23	NIL
b)	Number of complaints disposed of during the financial year 2022-23	NIL
c)	Number of complaints pending as on end of the financial year 2022-23	NIL

16. AWARDS & RECOGNITIONS

Awards received under the pillars of Environment, Social, Governance (ESG): Showcasing PFC's efforts in creating sustainable impact:

• Environmental

- PFC received 'Green Urja Energy Efficiency Award' for being the Best Renewable Energy Financing Institution this year at the Atma Nirbhar Bharat Summit organized by Elets.
- Indian Chamber of Commerce's (ICC) Gold Award for the "Top Financing institution in Renewable Energy and Energy Efficiency category at the 11th Green Energy Summit.

• Social

- PFC has been ranked 2nd in "Swachhata Ranking" by NDMC in the category of offices in NDMC area.

- PFC won the Rajbhasha Kirti Puraskar. PFC was awarded the third prize of highest and prestigious 'Rajbhasha Keerti' for the year 2021-22 in the category of undertaking 'A' area for best performance in official language. PFC has been awarded this award for the ninth consecutive time.

• Governance

- PFC has been ranked 9th amongst the Top 10 Profit-making CPSEs as per the "Public Enterprises Survey 2021-22" published by the Department of Public Enterprises, Ministry of Finance, Govt. of India.
- PFC was ranked at '34' out of 'Top 500' Indian Companies by the Fortune Magazine.
- ICAI Gold Shield Award in the category of 'Public Sector Entities' of ICAI Awards for Excellence in Financial Reporting for 2021-22.
- Governance Now (Sab TV Group's) Award to PFC in the categories of "Best Performer (Financial) & Use of Emerging Technologies: Cloud".
- PFC bagged Dun & Bradstreet's India's Best PSU Award in the category of "Best Navratna" in a virtual format.
- Smt. Parminder Chopra, presently CMD, PFC has been bestowed with 'Icon of the year' award by the Institute of Cost Accountants of India.

• Others

PFC bagged four awards at the 16th Annual Global Communications Conclave organized by the Public Relations Council of India in the categories of Best Corporate Film (Gold), Best Annual Report (Silver), Best House Journal Print (Regional) and Best Use of Social Media.

17. VIGILANCE: FOSTERING ACCOUNTABILITY AND TRANSPARENCY

PFC operates with a proactive vigilance unit functioning as a robust vigil mechanism within the corporation. During the Financial Year 2022-23, the Vigilance Unit has undertaken preventive vigilance, emphasizing periodic & surprise inspections of various units, contributing to operational integrity and transparency. During the period, the Vigilance Unit has also issued instructions/operative guidelines to rationalize systems and procedures in order to eliminate gaps and confirming transparency in day to day operations. As a new initiative the first edition of the Vigilance Magazine "Prahari" was inaugurated, which contains various articles related to vigilance, power & allied sector and award winning entries of the Vigilance Awareness Week. The Vigilance Unit carried out detailed investigation in respect of complaints registered during this period.

Power Finance Corporation Limited observed Vigilance Awareness Week from 31.10.2022 to 06.11.2022, actively promoting ethical practices and the theme "Corruption-Free India for a developed India." On this occasion, banners

showing observance of the Vigilance Awareness Week were displayed at the prime locations in and outside the office premises. Theme of Vigilance Awareness Week -2022 was also displayed on desktops of all the employees of the corporation. Publicity of the event was also done through social media such as Facebook, Twitter, Instagram, and Newspapers including their online editions. To instill integrity and ethical values, "e-pledge on Integrity" was taken by the employees via the intranet and PFC website.

During the week, competitions focused on Pictorial, Slogan Writing, Poem Writing were organized on the subjects related to Vigilance. These competitions were open to all regular employees of this Corporation including those posted in the regional offices. The aim of these competitions was to stimulate the creativity, imagination and originality of the employees to enable them to come out with innovative ideas about dealing with Good Governance. A one day workshop on the topic PFC's Conduct, Discipline and Appeal Rules" was also organized by the Corporation with eminent faculty for the benefit of employees, in which regular employees participated. A talk "ABBFF and Role of IAC" was also organized for the employees of the PFC by Shri Vijay Kumar Tyagi, CVO, PNB. A Talk session on Preventive Vigilance was organized by the PFCCL for employees of the PFCCL by Shri R. N. Nayak, Ex-Director, CVC. It emphasized upon constant systemic improvements, integrity and transparency in public life.

In compliance of the instructions of CVC, the sensitive posts in the Corporation have been identified and the concerned officers were rotated on a regular basis. Agreed lists and List of officers of Doubtful Integrity for the year 2023 were prepared in respect of corporate office at Delhi and regional offices at Mumbai and Chennai in consultation with the CBI, aligning with transparent and responsible practices. Prescribed periodical statistical returns were sent to CVC, CBI, MOP on time.

The Vigilance Unit continuously pursued systemic improvements to improve transparency, objectivity and accountability in the operations of the corporation. Thus, it has contributed towards strengthening in the functioning of the organization.'

18. OFFICIAL LANGUAGE

PFC always gives utmost priority to Rajbhasha Hindi in all its official working. It is a matter of great pride that PFC has been awarded with the Third Prize in Public Sector Category in Region 'A' of 'Rajbhasha Kirti Puraskar' for 2021-22 by Rajbhasha Vibhag, Ministry of Home Affairs for its concerted efforts made in implementation of Official Language Policy. The Prize has been received by PFC for consecutively 9th time.

Hindi Day on September 14, 2022 and Hindi Month from September 14, 2022 to October 13, 2022 were celebrated to create a Hindi oriented environment. Five (05) competitions like 'Katha Visataran', 'Hindi Tippan evam Aalekhan', 'Rajbhasha Niti', 'Shabd Gyan' and 'Anek Rang Ek Pratiyogita

ke sang' were organised during the Hindi Month. A play "Mahabharat - Ek Amar Katha" was organised for PFC employees during Hindi Month on 07.10.2022 at Sirifort Auditorium Complex, New Delhi. The play was presented by the well-known theatre company 'Felicity Theatre'. The drama is written and directed by film, television veteran Puneet Issar. Along with Puneet Issar, many veteran actors like Gufi Paintal, Rahul Bhuchar presented their brilliant performances in this play.

During the year, 06 Hindi workshops and 01 Sangoshthi were organised in which 336 employees participated. Apart from the competitions held during Hindi month, in order to motivate employees, 04 Hindi competitions namely 'Smaranshakti Pratiyogita', 'Bujho toh Jaane Pratiyogita' and 'Shabdon Ka Taana-baana Pratiyogita' and 'Vishwa Hindi Diwas Pratiyogita' were also organised in which 205 employees participated. Review meetings with various units, internal inspections and Personal contact programme were conducted for the purpose of reviewing the Rajbhasha related work being done by these units and employees. To motivate the employees towards Hindi, the book "Kamayani" written by Jaishankar Prasad was distributed to all the employees.

The meeting of Hindi Salahakar Samiti, Ministry of Power was held on May 12, 2022 at Ashok Hotel, New Delhi. All co-ordination work related to the arrangement of this meeting was done by PFC. The meeting was presided over by Shri R. K. Singh, Hon'ble Minister of Power and New & Renewable Energy.

Four (04) Issues including 'Atulya Bharat Visheshank' of House Journal 'Urja Deepti' were also published and made available on website of Department of Official Language, Ministry of Home Affairs.

All these efforts were motivational tools in creating possibilities of better and progressive use of Rajbhasha Hindi in the Corporation.

19. DIRECTORS' RESPONSIBILITY STATEMENT

As required under Section 134(5) of the Companies Act, 2013, it is confirmed that:

- in the preparation of the annual accounts, the applicable accounting standards had been followed along with proper explanation relating to material departures;
- the Directors had selected such accounting policies and applied them consistently and made judgements and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the company at the end of the financial year and of the profit and loss of the company for that period;
- the Directors had taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of this Act for safeguarding the assets of the company and for preventing and detecting fraud and other irregularities;

- (d) the Directors had prepared the annual accounts on a going concern basis; and
- (e) the Directors, had laid down internal financial controls to be followed by the company and that such internal financial controls are adequate and were operating effectively;
- (f) the Directors had devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

20. AUDITORS

i. Statutory Auditors

Dass Gupta & Associates, Chartered Accountants and Prem Gupta & Company, Chartered Accountants were appointed as Joint Statutory Auditors of the Company for FY 2022-23 by the Office of the Comptroller & Auditor General of India.

The Joint Statutory Auditors have audited the accounts of the Company for the FY 2022-23 and have given their report without any qualification, reservation, adverse remark or disclaimer. The copy of the audit report is annexed herewith.

ii. Secretarial Audit:

Your Company had engaged M/s. Mehta & Mehta, Company Secretaries as Secretarial Auditors for FY 2022-23. Secretarial Audit Report is annexed herewith.

The observations of the Secretarial Auditor and reply of the management on the observations, for the FY 2022-23 along with copy of the audit report is annexed herewith.

iii. Comments of Comptroller & Auditor General of India

The Comptroller and Auditor General of India (C&AG) has mentioned that on the basis of audit, nothing significant has come to their knowledge which would give rise to any comment upon or supplement to Statutory Auditors' report. The copy of the report of C&AG is annexed herewith.

21. DIGITIZING GOVERNANCE PRACTICES BY LEVERAGING TECHNOLOGY

Pursuant to the Companies Act, 2013, the Companies are permitted to send documents like Notice of Annual General Meeting, Annual Report etc. through electronic means to its members at their registered e-mail addresses. PFC, being a socially responsive Company actively supports the implementation of 'Green Initiative' of the Ministry of Corporate Affairs (MCA). Your Company has effected electronic delivery of Notices and Annual Reports to shareholders, whose e-mail IDs are registered. The intimation of dividend (interim/final) is also being sent electronically to such shareholders. Further, pursuant to Section 108 of the Companies Act, 2013 read with Rule 20 of the Companies (Management and Administration) Rules, 2014, the Company is providing e-voting facility to all members to enable them to cast their votes electronically

in respect of resolutions set forth in postal ballot and Annual General Meeting (AGM). The Company will also be conducting the AGM this year through video conferencing/ other audio-visual means. Members can refer to the detailed instructions for e-voting and electronic participation in the AGM, as provided in the Notice of AGM.

22. STATUTORY DISCLOSURES

- i. Your Company is a non-deposit taking NBFC, and thus has not accepted any public deposits during the FY 2022-23. Further, no Perpetual Debt Instruments (PDI) was issued by your Company during FY 2022-23. The Board of Directors of the Company has passed requisite resolution in this regard, in compliance of RBI Guidelines.
- ii. No significant and material orders were passed by any regulator or court or tribunal impacting the going concern status and company's operations during the FY 2022-23.
- iii. The Company maintains an adequate system of Internal Control, including suitable monitoring procedures to ensure accurate and timely financial reporting of various transactions, efficiency of operations and compliance with statutory laws, regulations and Company procedures/ policies. For details, please refer to the 'Management Discussion and Analysis Report' annexed to this report.
- iv. Information on composition, terms of reference and number of meetings of the Board and its Committees held during the year, Whistle-Blower Policy, remuneration to Whole time Directors, sitting fees to Independent Directors and details regarding IEPF and web-links for familiarisation programmes of Directors, Policy on Materiality of Related Party Transactions and Dealing with Related Party Transactions, Policy for determining Material Subsidiaries, etc. have been provided in the 'Report on Corporate Governance', prepared in compliance with the provisions of SEBI (LODR) Regulations, 2015 and DPE Guidelines on Corporate Governance, 2010, as amended from time to time, which forms part of this Annual Report.
- v. Pursuant to Section 186(11) of the Companies Act, 2013, loans made, guarantees given, securities provided or investment made by a company engaged in the business of financing of companies or of providing infrastructural facilities in the ordinary course of its business are not applicable to the Company, hence no disclosure is required to be made. Further, details of investments are appearing at note no.11 of the Notes to Accounts of the standalone financial statements.
- vi. The provisions of Section 197 of the Companies Act, 2013 and Rules made thereunder relating to managerial remuneration are not applicable to Government companies, therefore no disclosure is required to be made.

- vii. The Company has not issued any stock options to the Directors or any employee of the Company.
- viii. The Central Government has not prescribed the maintenance of cost records for the products/services of the Company under the Companies (Cost Records and Audit) Rules, 2014 read with the Companies (Cost Records and Audit) Amendment Rules, 2014 prescribed by the Central Government under Section 148 of the Companies Act, 2013. Accordingly, cost accounts and records are not required to be maintained by the Company.
- ix. During the year under review, neither the statutory auditors nor the secretarial auditor has reported to the audit committee, under Section 143(12) of the Companies Act, 2013, any instances of fraud committed against PFC by its officers or employees.
- x. The Company is compliant with the applicable Secretarial Standards issued by the Institute of Company Secretaries of India.
- xi. The Independent Directors of the Company are nominated/appointed by the President of India acting through the administrative ministry, i.e., MoP. Accordingly, the appointing authority considers the integrity, expertise and experience of the individual to be nominated/appointed. In the FY 2022-23 no new Independent Directors were appointed on the Board of PFC.
- xii. There are no significant particulars, relating to conservation of energy and technology absorption as your Company does not own any manufacturing facility.
- xiii. The Foreign exchange outgo for the FY 2022-23 aggregated to ₹ 10,226.94 crore. The Foreign exchange earnings for the FY 2022-23 were nil. The payments are majorly for the purpose of servicing principal and interest component of foreign currency borrowings.
- xiv. Total expenditure for the FY 2022-23 amounted to ₹ 25,495.01 crore as against total expenditure of ₹ 26,363.52 crore in FY 2021-22. Out of it, finance cost amounted to ₹ 23,282.57 crore in FY 2022-23 as compared to ₹ 22,671.30 crore in FY 2021-22. This constituted 91.32 % of total expenses in FY 2022-23. During FY 2022-23, employee benefit expenses and other expenses were ₹ 219.01 crore and ₹ 128.55 crore respectively against 213.11 crore and ₹ 122.71 crore respectively in the previous year.
- xv. M/s. ASA & Associates LLP, Chartered Accountants, appointed for testing the adequacy and operative effectiveness of Internal financial control over financial reporting, has certified that the Company maintains an adequate system of internal financial controls, evaluates and makes an assessment of its adequacy and effectiveness in a satisfactory manner which takes care of requirements under Companies Act, 2013.

The Statutory Auditors of the Company i.e. Dass Gupta & Associates, Chartered Accountants and Prem Gupta & Company, Chartered Accountants and have also given their Report on the Internal Financial Controls stating that the Company has, in all material respects, an internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at March 31, 2023 based on internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India.

- xvi. The Annual Return of PFC for FY 2021-22 is available on the link chrome-extension://efaidnbmninnibpcapjcgiclfndmkaj/https://www.pfcindia.com/DocumentRepository/ckfinder/files/Investors/Annual_Return/Annual_Report_21_22.pdf and for FY 2022-23 it shall be made available on your Company's website www.pfcindia.com.
- xvii. The details of Debenture Trustees appointed by the Company for the different series of Bonds issued by your Company are annexed herewith.
- xviii. During the year no application has been made or any proceedings pending against PFC under the Insolvency and Bankruptcy Code, 2016. Further, details of the difference between amount of the valuation done at the time of one time settlement and the valuation done while taking loan from the banks or financial institutions, are not applicable.
- xix. Procurement from Micro & Small Enterprises:

Government of India has notified Public Procurement Policy for Micro and Small Enterprises (MSEs) Order, 2012 to support marketing of products produced and services rendered by them. In compliance to the policy, annual procurement plan including items to be procured from Micro & Small Enterprises (MSEs) are uploaded on PFC website for the benefit of MSEs.

The benefits to MSEs like exemption from tender fees and earnest money deposit, purchase preference, interest on delayed payments and exemption from prior experience - prior turnover criteria subject to meeting of quality and technical specifications are also extended to encourage these enterprises.

During the financial year, your Company has procured products and services from MSEs, which constituted 66.09% of the total annual procurement value, against the mandate of 25 % set by Ministry of Micro, Small and Medium Enterprises, Govt. of India. During the year, 309 MSEs were benefited out of which 19 MSEs belonged to SC/ST category and 48 MSEs were owned by women.

PFC is also registered on the Trade Receivables Discounting System (TReDS) platform for financing of trade receivables of Micro, Small & Medium Enterprises (MSMEs). TReDS platform facilitates the discounting of invoices of MSMEs leading to prompt generation of working capital for their regular business operations.

The details of the procurements made from Micro, Small and Medium Enterprises (MSEs) during the FY 2022-23 and the targets for FY 2023-24 as required to be disclosed under Micro, Small and Medium Enterprises Development Act, 2006 along with Public Procurement Policy for Micro and Small Enterprises (MSEs) Order, 2012 is as under:

Sr. No.	Particulars	FY 2022-23 (₹ in crore)	Target for FY 2023-24 (₹ in crore)
I.	Total annual procurement (in value)	46.81	169.2 (135* + 34.2)
II.	Total value of goods and services procured from MSEs (including MSEs owned by SC/ST entrepreneurs)	30.93	42.3
III.	Total value of goods and services procured from only MSEs owned by SC/ST entrepreneurs.	3.90	6.768
IV.	% age of procurement from MSE (including MSEs owned by SC/ST entrepreneurs) out of total procurement.	66.09	25
V.	% age of procurement from only MSEs owned by SC/ST entrepreneurs out of total procurement	8.33	4
VI.	Total Number of vender development programmes for MSEs	3	2
VII.	Confirmation of uploading annual MSE procurement profile on your website by hyperlink of same.	https://www.pfcindia.com/DocumentRepository/ckfinder/files/Statutory_Requirements/Codes_and_Policies/Public_Procurement_Policy_for_MSME/Procurement%20Target%20%20and%20Profile%202023-24%20V0_0.pdf	

*One Time IT infrastructure refresh expenditure planned for FY 2023-24

23. INFORMATION TECHNOLOGY

PFC has undertaken various information technology initiatives to achieve sustainable business growth, improve overall productivity, ensure data integrity and data privacy. PFC has implemented state-of-the-art Data center providing various IT services and housing ERP application system to integrate all the Business functions, reflecting PFC's commitment to operational excellence.

Digital Transformation & ERP Implementation

MS Unit has taken up initiatives for a complete digital transformation as per the laid down IT roadmap to adopt state-of-the-art technology which can help PFC to reflect the standards of being a MAHARATNA. As part of this, the most ambitious project is to implement a comprehensive IT ERP platform that can ensure end-to-end integration and digitization of the processes and services as a single source of truth. At present, the ERP platform is under implementation stage and some modules are released for user experience.

Enhancing Digital reach - Online Borrower Services

In the digital era, Information Technology has been put to use to ensure timely "information sharing" to enhance the customer experience of the borrowers. PFC has implemented "Online Borrower Portal", through which the

Your Company had also organised/participated in 03 vendor development programmes in co-ordination with Ministry of Micro, Small and Medium Enterprises, Govt. of India to encourage participation of Micro and Small Enterprises.

disbursement detail, loan ledger, due-receipt, outstanding detail & remittance detail etc., are made available in an online mode which can be accessed for instant information dissemination. Through this portal, borrowers not only have access to their loan data instantly, and also it allows them to plan for further necessary action timely.

Business automation & Paperless Office

PFC continuously poised to utilize Information Technology to enable its employees to cater to business functions efficiently. Implementation of collaboration tools for online meetings, e-Office solution for efficient file processing, paperless digital board meetings thru Board Pac and paperless employee claims are few of the initiatives highlighting PFC's efforts in going Green.

Adopting Robust Cyber Security Measures

PFC has developed a comprehensive cyber security framework to safeguard its IT assets, PFC has taken substantial initiatives to augment the cyber security arrangements. PFC has implemented Anti-APT Devices, Next Generation Firewall, IPv6 for increased cybersecurity posture and also inducted Managed Detection & Response Services for proactive cyber security protection. As per the guidelines of Ministry of Power, the "Cyber Jagrukta Diwas" is being conducted on every first Wednesday of the month at PFC, contributing to a vigilant cyber-safe environment.

Ensuring Business Continuity

It is very crucial to safeguard the business operations of PFC in order to ensure business continuity. As a milestone achievement, PFC has established a disaster recovery site on a private cloud which is considered as highly secured, to replicate the existing data center setup in a different seismic zone. With this, PFC can continue its business operation during any disaster or cyber security incidents. This critical measure bolsters PFC's commitment to sustainability and resilience.

PFC Website & Knowledge sharing

The bi-lingual PFC website is maintained with up-to-date information as per "Guidelines for Indian Government Websites". The face uplifted website has been made more informative to address the information requirements of external stakeholders.

Business Analytics

MIS portal for Business intelligence and reporting requirements is in place for decision support. The portal has been enriched regularly with more business data metrics.

Knowledge sharing Portal

To share their domain knowledge amongst employees handling various functions within PFC, a software portal has been developed which is named as "PEEPAL" for knowledge sharing, mutual appreciation and to create a positive association among the employees.

Compliance to guidelines issued by statutory bodies

The compliance guidelines issued by various statutory & regulatory bodies have been stringently followed and implemented at PFC. As per the guidelines issued by RBI vide Master Directions to NBFCs, the IT Strategy Committee has been constituted, IT policy has been implemented & IT audits are being carried out regularly on annual basis. All guidelines & regulations pertaining to Information Technology issued by various statutory and regulatory bodies like Meity, RBI, MoP, NCCC, NCIPC etc. have been implemented and strictly followed by PFC.

Through these strategic IT initiatives, PFC continues its unwavering dedication to ESG principles, contributing to sustainable growth, operational efficiency, and responsible corporate practices.

24. ESTABLISHMENT OF VIGIL MECHANISM

The establishment of a robust vigil mechanism is a pivotal aspect of your Company's commitment to Environmental, Social, and Governance (ESG) principles. This mechanism encompasses a range of codes and policies, including fair practices, codes of conduct, prevention of insider trading,

fraud prevention, related party transactions, public procurement, and a comprehensive whistle-blower policy. These measures reinforce the organization's focus towards transparent, accountable and ethical business practices.

The vigil mechanism's effectiveness is underscored by its accessibility and visibility. Details of these codes and policies, along with pertinent information, are readily available on the Corporation's official website. This not only reflects your Company's commitment to open communication but also empowers stakeholders to understand and engage with the principles that govern the organization.

25. GRIEVANCE REDRESSAL

PFC has a Grievance Redressal System for dealing with grievances of the public at large and in accordance with the guidelines issued by the Government of India, the Company has also constituted a Grievance Redressal Committee to redress the grievances of its employees.

The transparency and accessibility of this system are key tenets of PFC's responsible governance approach. The status of public grievances is openly available on the PFC web portal, accessible to all stakeholders.

The link for accessing the same is as under:-

https://pfcindia.com/DocumentRepository/ckfinder/files/Statutory_Requirements/Status_of_Public_Grievances/PFC%20CPGRAMS%20Report.pdf

The systems are duly notified and the Nodal Officers ensure quick redressal of grievances within the permissible time frame. PFC's commitment to transparency extends further through its Citizen's Charter, ensuring clear communication of its business practices. The Charter is available on the website of PFC to facilitate easy access.

26. STATUTORY AND OTHER INFORMATION

Information required to be furnished as per the Companies Act, 2013, Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, DPE's Guidelines on Corporate Governance for CPSEs and other applicable statutory provisions is annexed to this report as follows:

Particulars	Annexure
Management Discussion and Analysis Report	A
Integrated Reporting	B
Report on Corporate Governance	C
Business Responsibility and Sustainability Report	D
Secretarial Audit Report	E
Annual Report on CSR Activities	F
Disclosure of particulars of contracts/arrangements entered into by the Company with related parties (AOC-2)	G
Details of Debenture Trustees	H

27. ACKNOWLEDGEMENT

Your Board of Directors acknowledge and place on record their appreciation for the assistance, co-operation and encouragement extended to the Company by the Government of India particularly the Ministry of Power, Ministry of Finance, Ministry of Corporate Affairs, State Governments, Reserve Bank of India, Department of Public Enterprises, NITI Aayog, DIPAM, Securities and Exchange Board of India, National Stock Exchange of India Limited, Bombay Stock Exchange Limited, Ministry of Micro, Small and Medium Enterprises, and other concerned Government departments/agencies at the Central and State level etc.

The Company is also thankful to the Comptroller & Auditor General of India, the Statutory Auditors, Secretarial Auditor and RBI Auditors and the bankers for their constructive suggestions and co-operation.

Your Directors would also like to convey their gratitude to the shareholders, investors, clients and customers for their unwavering trust and support. Last but not the least the directors would like to thank the employees for their continuing support and contribution in ensuring an excellent all round performance.



(Parminder Chopra)

Chairman and Managing Director
DIN: 08530587

Place: New Delhi
Dated: August 21, 2023